The Making of a Global World

The big idea

"Globalisation" sounds modern, but people, goods, ideas, germs and money have been moving across the world for thousands of years. This chapter traces that story: from the **silk routes** of the pre-modern world, through the nineteenth-century world economy and the disaster of the **Great Depression**, to the rebuilding after the Second World War.

The pre-modern world

- **Silk routes**: the name points to the importance of West-bound **Chinese silk** cargoes. Routes linked China, Asia, Europe and northern Africa by land and sea. Chinese pottery, Indian textiles and spices, and precious metals from Europe travelled along them. **Buddhist** preachers, Christian missionaries and later Muslim preachers also used them.
- **Food travels**: noodles may have travelled west from China to become **spaghetti**. Many common foods, such as **potatoes, soya, groundnuts, maize, tomatoes, chillies and sweet potatoes**, came from the Americas after **Columbus** reached there (1492). In Ireland, the poor depended so heavily on potatoes that when a disease destroyed the crop in the mid-1840s, hundreds of thousands died in the **Irish Potato Famine (1845–1849)**.
- **Conquest, disease and trade**: in the sixteenth century, Europeans conquered the Americas. Their most powerful weapon was not guns but germs such as **smallpox**, to which local people had no immunity. Precious metals, especially **silver**, from Peru and Mexico enhanced Europe's wealth.

The nineteenth century (1815–1914)

Economists identify **three types of flows** in international economic exchanges:

1. **Trade** (mainly in goods like cloth or wheat)
2. **Labour** (migration of people in search of employment)
3. **Capital** (short-term or long-term investments over long distances)

A world economy takes shape. In Britain, population growth increased the demand for food grains. Under pressure from landed groups, the government restricted import of corn through the **Corn Laws**. When these were **abolished**, cheaper food was imported; British agriculture could not compete, and people migrated to cities or overseas. Food production expanded in Eastern Europe, Russia, America and Australia, needing railways, ports, and huge investment from London. Nearly **50 million people emigrated** from Europe to America and Australia in the nineteenth century.

Role of technology. Railways, steamships and the telegraph were key. **Refrigerated ships** made it possible to transport perishable foods (like meat) over long distances, reducing costs in Europe.

Late nineteenth-century colonialism. In **1885** big European powers met in **Berlin** to complete the carving up of Africa. In the 1890s, **rinderpest** (cattle plague) arrived in Africa with infected cattle imported to feed Italian soldiers in Eritrea. It killed 90 per cent of cattle, destroying African livelihoods and forcing Africans into the labour market, which helped colonisers.

INDENTURED LABOUR: "A NEW SYSTEM OF SLAVERY"

A **bonded labourer under contract** to work for an employer for a specific amount of time, to pay off his passage to a new country or home. In the nineteenth century, hundreds of thousands of Indian and Chinese labourers went to plantations, mines and road and railway projects. Indians went mainly to the **Caribbean islands (Trinidad, Guyana, Surinam), Mauritius and Fiji**, and Ceylon and Malaya. Most came from present-day eastern **Uttar Pradesh, Bihar**, central India and the dry districts of **Tamil Nadu**. Recruitment was by **agents** who often gave false information. Living and working conditions were harsh, with few legal rights. Workers created new

cultures: **Hosay** in Trinidad (from Muharram), **Rastafarianism** (made famous by **Bob Marley**), and **'chutney music'** in Trinidad and Guyana. Indentured labour was **abolished in 1921**.

Indian entrepreneurs abroad: **Shikaripuri shroffs** and **Nattukottai Chettiars** financed export agriculture in Central and Southeast Asia; Hyderabadi Sindhi traders set up emporia at busy ports.

India in the world economy. British cotton manufactures flooded India, while India exported raw cotton, opium (to China) and wheat. Britain had a **trade surplus** with India, which was used to balance its deficits with other countries and to pay **"home charges"** (pensions of British officials, interest on India's external debt).

The inter-war economy

The First World War (1914–1918) was fought between the **Allies** (Britain, France, Russia; later the US) and the **Central Powers** (Germany, Austria-Hungary, Ottoman Turkey). It was the first **modern industrial war**, using machine guns, tanks, aircraft and chemical weapons on a massive scale. Over 9 million died. Britain borrowed heavily from US banks, and the **US turned from an international debtor into an international creditor**.

Rise of mass production and consumption. The US economy recovered quickly. **Henry Ford** adapted the assembly line of a Chicago slaughterhouse to his car plant in **Detroit**, producing the **T-Model Ford**. He doubled wages to **$5 a day** and banned trade unions. Mass production lowered costs; hire-purchase (credit) fuelled a boom in cars, refrigerators, washing machines and radios.

THE GREAT DEPRESSION (AROUND 1929 TO THE MID-1930S)

Most parts of the world saw catastrophic declines in production, employment, incomes and trade.
Causes: (1) **Agricultural overproduction** led to falling prices; farmers produced more to maintain income, making prices fall further. (2) In the

mid-1920s many countries had financed investments through **loans from the US**; when US overseas lending fell sharply after 1928, countries dependent on those loans faced crisis. (3) The US raised import duties, which hurt world trade. Thousands of US banks went bankrupt.

India and the Depression. India's **exports and imports nearly halved between 1928 and 1934**. Wheat prices in India fell by **50 per cent** between 1928 and 1934. Peasants and farmers suffered more than urban dwellers because agricultural prices fell sharply while the colonial government refused to reduce revenue demands. India became an exporter of **precious metals, especially gold**, as peasants sold their savings. Urban fixed-income groups (salaried, landowners living on rent) were relatively better off as prices fell.

Rebuilding a world economy: the post-war era

The **Second World War (1939–1945)** was fought between the **Axis powers** (Nazi Germany, Japan and Italy) and the **Allies** (Britain, France, the Soviet Union and the US). About **60 million people** died.

Lessons from the inter-war years: (1) an industrial society cannot be sustained without mass consumption, so governments must keep employment high; (2) a country's economic links with the outside world must be managed.

BRETTON WOODS (JULY 1944)

The UN Monetary and Financial Conference at **Bretton Woods, New Hampshire, USA** set up the **International Monetary Fund (IMF)** to deal with external surpluses and deficits of member nations, and the **International Bank for Reconstruction and Development (IBRD, the World Bank)** to finance post-war reconstruction. They are called the **Bretton Woods twins**. Both began operations in **1947**. The system was based on **fixed exchange rates**: national currencies were pegged to the **US dollar**, and the dollar was anchored to gold at **$35 per ounce**. The US has an effective right of veto over key IMF and World Bank decisions.

The Bretton Woods system brought unprecedented growth of trade and incomes for Western industrial nations and Japan (the "golden age"). **Decolonisation** followed; most developing countries formed the **G-77** to demand a **New International Economic Order (NIEO)**: real control over natural resources, more development aid, fairer prices for raw materials and better access for their manufactured goods.

End of Bretton Woods and globalisation. From the 1960s, rising costs of overseas involvement weakened the US dollar; the system of fixed exchange rates collapsed and **floating exchange rates** were introduced. From the late 1970s, MNCs shifted production to low-wage Asian countries; **China** (after its 1949 revolution) became an attractive destination for investment because of its low wages.

DON'T MIX UP THE WARS' SIDES

WWI: Allies vs **Central Powers**. WWII: Allies vs **Axis** powers. And the IMF and World Bank were set up at Bretton Woods in 1944 but began work in 1947.

BOARD FAVOURITES

"Explain the three types of flows", "Why is indentured labour called a new system of slavery?", "Causes of the Great Depression and its impact on India" (5 marks), "Role of the Bretton Woods institutions", "Effects of rinderpest in Africa", "How did the potato change lives in Europe?"

Quick recap

- Silk routes linked Asia, Europe and Africa; foods and germs crossed continents after 1492.
- 19th-century economy: flows of trade, labour and capital; Corn Laws abolished; 1885 Berlin conference; rinderpest in 1890s Africa.
- Indentured labour to Caribbean, Mauritius, Fiji; abolished 1921.

- WWI turned the US into a creditor; Ford's assembly line; Great Depression from 1929 (India's trade halved 1928–34).
- Bretton Woods 1944: IMF + World Bank, fixed exchange rates; G-77 demanded NIEO.

Practice questions

1. Which of these is NOT one of the three types of flows in international economic exchange identified by economists?
   (a) Trade (b) Labour (c) Capital (d) Technology
2. Rinderpest, which arrived in Africa in the 1890s, was
   (a) a cattle plague (b) a crop disease of potatoes (c) a type of indentured contract (d) a colonial tax
3. Indentured labour was abolished in
   (a) 1885 (b) 1914 (c) 1921 (d) 1944
4. Hosay in Trinidad developed from which festival?
   (a) Diwali (b) Holi (c) Baisakhi (d) Muharram
5. Which institution was set up at Bretton Woods to finance post-war reconstruction?
   (a) IMF (b) IBRD (World Bank) (c) WTO (d) G-77
6. Between 1928 and 1934, India's exports and imports
   (a) doubled (b) nearly halved (c) stayed the same (d) rose by 10 per cent
7. Henry Ford's car plant used the idea of an assembly line borrowed from
   (a) a Lancashire cotton mill (b) a Japanese shipyard (c) a Chicago slaughterhouse (d) a German steel plant
8. Explain any three causes of the Great Depression of 1929.
9. Why is indentured labour described as a "new system of slavery"? Explain with reference to Indian migrants in the nineteenth century.

Answers: 1. d 2. a 3. c 4. d 5. b 6. b 7. c 8. see notes 9. see notes